

DCF Valuation Methodology & Assumptions

A discounted cash flow (DCF) valuation was performed to estimate PayPal's intrinsic value based on its future cash generation potential. The model utilizes a five-year forecast period from 2026E through 2030E and values the company using unlevered free cash flow. This allows the analysis to focus on the underlying operating performance of the business independent of its capital structure. Future cash flows were discounted using a weighted average cost of capital (WACC) of 9.0% while a terminal growth rate of 2.5% was applied to reflect PayPal's position as a mature but still growing payments platform.

The base case assumes revenue growth gradually moderates from 6.0% in 2026 to 4.5% by 2030. These assumptions reflect continued growth across Venmo, Buy Now, Pay Later, and Branded Checkout. It also considers PayPal's scale and increasing competition from Adyen, Block, Fiserv, and other payment providers. The model assumes operating margins expand from 18.0% to 20.0% over the forecast period which are driven by operational efficiency initiatives, product monetization efforts, and improved execution under management. These assumptions remain relatively conservative compared to several higher-margin industry peers and do not require exceptionally strong growth or profitability outcomes.

DCF Interpretation & Investment Implications

The DCF analysis suggests that PayPal may be materially undervalued relative to its current market valuation. Under the base case scenario, the model produces an implied value of approximately \$95 per share, compared to a current share price near \$43. The bear and bull case scenarios generate valuations of approximately \$66 and \$131 per share, respectively. Collectively, these outcomes suggest that the market may be focused primarily on PayPal's profitability challenges while underestimating the company's continued revenue growth, strong cash generation, and growth across several key products. While valuation remains sensitive to long-term growth and profitability assumptions, the analysis indicates that PayPal's current share price may not fully reflect the company's earnings power, cash generation capabilities, and long-term potential.